

Economic History II

Midterm Exam (A1)

FGV EPGE

Name: _____

Duration: 90 minutes. Closed book. No electronic devices are permitted.

Part I (multiple choice): 10 questions, 5.5 points each, 55 points in total. Mark a single alternative.

Part II (essay): 4 questions, of which you must answer 3, 15 points each, 45 points in total. State clearly which question you are leaving out; if you answer more than three, only the first three will be marked. Answer each one in a single paragraph (up to about 250 words). Longer answers do not earn more points.

Articles examined: Nunn (2008); Feir, Gillezeau and Jones (2024); Lowes and Montero (2021); Ottinger and Voigtländer (2025); Larsen, *Ancient Kanesh* (chs. 6 and 14); Klein and Luna (2009, ch. 5); Jha (2015); Valencia Caicedo (2019); Cagé, Grosjean and Jha (2023). Two multiple choice questions examine material presented in class.

Part I. Multiple choice (55 points)

1. Through which channels, according to Nunn, do Africa's slave trades continue to affect African development today, and what feature of those trades gives rise to those channels?

- (a) Through depopulation: the loss of some 18 million people left the land without workers, and that scarcity of labour persists; the origin lies in the unprecedented volume of the transatlantic trade.
- (b) Through colonial institutions: Europeans imposed extractive institutions precisely in the regions from which they took the most enslaved people; the origin lies in the colonizers' choices after 1885.
- (c) Through ethnic fractionalization and the weakening of states: individuals of the same or similar ethnicities enslaved one another, through internal warfare, raiding and kidnapping, which weakened ties between villages and brought down governments.
- (d) Through trade dependence: coastal economies specialized in exchanging captives for guns and cloth and never developed manufacturing; the origin lies in the monopoly of the European companies.

2. Feir, Gillezeau and Jones argue that limited access to credit constrained the ability of bison nations to adjust through re-specialization and migration. What evidence do they present for this?

- (a) Nations with greater access to credit in 1870 were more likely to enter capital-intensive industries and less likely to enter agriculture, which the Bureau of Indian Affairs encouraged and financed, and they have experienced more income convergence.
- (b) Bison nations received less agricultural credit from the Bureau of Indian Affairs than other nations and so could not even remain in agriculture, migrating to the cities in large numbers from 1900 onward.
- (c) Nations with more banks nearby in 1870 lost more bison, because the banks financed the hide hunters, so that credit appears associated with more poverty today.
- (d) Nations that received individual allotments under the Dawes Act could use them as collateral for loans, and are today the richest among the formerly bison-hunting nations.

3. Lowes and Montero show that greater exposure to the sleeping sickness campaigns is associated

with lower vaccination rates and more refusals of blood tests today. What do they find when they turn to the other trust measures in the Afrobarometer: trust in neighbours, relatives, the president, parliament, the police and the courts?

- (a) Exposure lowers trust in every institution of the state, but not in neighbours and relatives, which the authors read as mistrust of government in general.
- (b) Exposure raises trust in neighbours and relatives, as in the former Congo concessions, because people came to rely on one another.
- (c) Exposure lowers trust only in foreigners and in international organizations, which would explain the worse performance of World Bank health projects.
- (d) Exposure predicts none of these measures: the mistrust left by the campaigns is specific to the medical domain.

4. Frederick Woods, the source of Ottinger and Voigtländer's data, himself coded both each monarch's ability and the performance of the state during each reign. Why is that a problem, and how do the authors deal with it?

- (a) Woods believed that kin marriage produced better rulers; the authors correct that bias by reversing the sign of the grades given to the most inbred monarchs in the sample.
- (b) Woods may have favoured the rulers of successful states; the authors verify and extend his coding with their own assessments and add two objective measures, the change in land area and in urban population.
- (c) Woods assessed only the monarchs of England and France; the authors extend the sample to thirteen states using modern encyclopedias and reference works.
- (d) Woods coded moral traits rather than intellect; the authors use only the part of the coding that deals with emotional stability and discard the rest.

5. According to Larsen (ch. 14), what made the trade between Assur and Kanesh profitable?

- (a) Silver was cheaper in Anatolia than in Assur: tin and textiles bought there sold for about 50 percent more in Kanesh, and the silver came back.
- (b) Anatolian copper was bought cheaply at Durhumit and resold at a profit in Assur, where there were no mines; tin and textiles only covered the costs of the journey.
- (c) The Anatolian palaces paid a subsidy in silver to caravans that agreed to sell textiles to the king at a fixed price, which guaranteed the return on each trip.
- (d) Assur itself produced the tin and the textiles cheaply, and sold the surplus at monopoly prices in the Anatolian markets, where it had no competitors.

6. After the collapse around eponym year 110, the dated texts fall from about fifty a year to fewer than ten, and remain there for more than a century (level 1b). How does Larsen (ch. 6) read the trade of that later period?

- (a) It ceased entirely: the Assyrians abandoned Kanesh after the fire and returned to Anatolia only a century later, when Hittite kings reopened the Taurus roads.
- (b) It continued at a lower level, but reverted to venture trade: the merchant travelled with his own consignment and dealt with his customers personally, which made much of the paperwork unnecessary.
- (c) It moved to Purushaddum, which replaced Kanesh as the central colony of the network, so the Kanesh archive falls silent while that of Purushaddum, still unexcavated, must have grown.
- (d) It passed into the hands of the palace at Kanesh, which took over the caravans and concentrated the records in the royal archive, almost none of which survived the fire that destroyed the

mound.

7. According to Klein and Luna (2009, ch. 5), mark the correct statement about the economics of slavery in Brazil.

- (a) For Klein and Luna, the use of enslaved labour clearly constituted an important obstacle to technological innovation, helping to explain the relative technological backwardness of Brazilian sugar production and of mining in Minas Gerais.
- (b) The authors argue that, because it concentrated the most important economic activities, the export sector absorbed practically all enslaved labour in Brazil, in line with Gavin Wright's argument that the long-run risk and the high entry costs of commercial production favoured the use of enslaved labour.
- (c) The economic rationality of the slave market showed itself in the formation of prices, which responded to conditions of supply and demand and to the characteristics of the workers.
- (d) In colonial and imperial Brazil a current of thought spread that defended slavery on non-economic grounds, appealing to moral, religious and social arguments.

8. (*material presented in class*) Dippel and Heblich show that towns in the US North where a Forty-Eighter settled, a leader of the German revolution of 1848 expelled to America, had Union Army enlistments about two-thirds higher. Through which channels, according to the authors, did that influence work?

- (a) Through control of the local draft boards, which allowed them to set each town's quotas and to punish men who failed to report for service.
- (b) Through the payment of enlistment bounties with funds sent by sympathizers of the revolution who had remained in Germany and Switzerland after 1849.
- (c) Through local newspapers, which they founded or edited, and through social clubs, above all the Turner Societies, as well as public speeches and their own enlistment, which drew others along.
- (d) Through the German schools they ran, where the children of immigrants learned to read the abolitionist newspapers in English and took the ideas home.

9. (*material presented in class*) Barjamovic, Chaney, Coşar and Hortaçsu locate ten "lost cities" mentioned in the Kanesh tablets, that is, cities the Assyrians traded with but whose site nobody knows. How does the method work?

- (a) They match the names of the lost cities against the names of present-day Turkish towns and against the historians' conjectures, and pick the nearest site that has already been excavated.
- (b) They use satellite imagery and night lights to find mounds not yet excavated, and assign to each the name of the lost city most often mentioned in that region.
- (c) They put the stops of each itinerary recorded in the tablets in order and place each lost city at the midpoint of the route between the two nearest known cities.
- (d) They estimate, on the pairs of known cities, how fast trade falls with distance, and move each lost city on the map until the flows its position predicts match the flows the tablets record.

10. Ottinger and Voigtländer also examine the relation between ruler ability and war. What do they find?

- (a) More capable rulers were involved in more international wars, and that is why their states grew: territorial expansion came from a more aggressive and better financed foreign policy.
- (b) More capable rulers avoided war altogether, and the territorial gains of their reigns came from dynastic marriages and inheritance, not from conquest on the battlefield.

- (c) More capable rulers were involved in fewer international wars, but when they did fight they won a larger proportion of battles and expanded their territory into valuable, densely populated areas.
- (d) Inbreeding bears no relation to war, only to finances and administration; the effect on territory comes entirely from the fiscal reforms of the more capable reigns.

Part II. Essay questions (45 points)

Answer three of the four questions, each in a single paragraph of up to about 250 words.

11. (Jha 2015) Jha asks what created, in England in the 1640s, a novel and broad coalition in favour of parliamentary supremacy over the Crown. (i) What is the article's central argument: what kind of asset changed political attitudes, and why? (ii) The earlier explanations of the English Revolution (North and Weingast; Marx; Acemoglu, Johnson and Robinson 2005) pointed to domestic wealth, that is, land, inheritance and titles. What evidence in Jha runs against those explanations?

12. (Valencia Caicedo 2019) Valencia Caicedo studies the Jesuit missions among the Guaraní (1609 to 1767). (i) What is the article's argument: what did the missions do, and what does the author find 250 years after the expulsion of the Jesuits? (ii) Why is the comparison with the Franciscan missions, in the same region and among the same people, important to the argument? (iii) Why does the author need data on the sectoral composition of employment, that is, on how many people work in agriculture, in manufacturing and in commerce?

13. (Cagé, Grosjean and Jha 2023) The authors ask to what extent the values of a nation can be reshaped by heroes. (i) Why, according to them, does a war hero have a special capacity to legitimize political positions, including positions previously considered deeply repugnant? (ii) How was the network they study formed at Verdun in 1916, and what did the municipalities tied to it do differently between the wars and under Vichy? (iii) From 1943 on, when German defeat was already clear and joining came with great risk, collaboration remained higher in those municipalities. How does the authors' argument explain this?

14. (Klein and Luna 2009, ch. 5) Consider Tables 3.5 and 5.3 reproduced below and answer items (a) to (c).

Table 3.5. Distribution of Slaves and Owners by Size of Slaveholding, Minas Gerais, 1715–1718

Size of slaveholding	1715–1717		1718	
	Owners	Slaves	Owners	Slaves
1	18%	3%	25%	5%
2	16%	5%	17%	6%
3	14%	6%	12%	7%
4	7%	4%	9%	6%
5	8%	6%	7%	7%
1–5	62%	24%	60%	22%
6–10	22%	25%	21%	23%
11–20	12%	28%	13%	27%
21–40	4%	15%	5%	18%
41+	1%	7%	1%	9%
Total	100%	100%	100%	100%
(n)	539	3,503	2,071	14,365

Source: Seção Provincial, Arquivo Público Mineiro; for 1718, Luna, “Estrutura da Posse de Escravos em Minas Gerais (1718)”, table 7.

Table 5.3. Economic Activities of Owners by the Size of Their Slaveholdings in São Paulo, 1804–1829

	1804		1829	
	1–5	21+	1–5	21+
% Owners				
Sugar	23%	30%	5%	57%
Aguardente	49%	7%	34%	13%
Coffee	63%	4%	53%	11%
Food crops	75%	2%	72%	2%
Ranching	45%	11%	43%	10%
% Slaves				
Sugar	4%	63%	1%	83%
Aguardente	16%	29%	9%	38%
Coffee	26%	21%	14%	46%
Food crops	38%	13%	35%	15%
Ranching	13%	36%	12%	37%

Source: Luna and Klein, *Slavery and the Economy* (2003).

(a) What does the evidence in the tables reveal about the structure of slaveholding and the uses of enslaved labour in Brazil? In particular, discuss how far it contrasts with an interpretation of slavery as a phenomenon restricted to large units producing for the export market.

(b) How does Stefano Fenoaltea’s model, discussed by Klein and Luna, help explain different forms of organizing enslaved labour? Illustrate your answer with at least two examples given by the authors.

(c) Klein and Luna draw on Evsey Domar’s argument to discuss the relation between the availability of land and the organization of labour. Explain why, in that argument, an abundance of land could make it difficult to form a stable market for wage labour, and how this relates to the use of forced labour in Brazil.

References

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